

Duration as a Diversifier: Revisiting Stock–Bond Correlation Regimes

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ABSTRACT

The reliability of government bonds as an equity hedge depends heavily on which macro shock is dominant. This paper studies how the sign and stability of stock-bond correlation shifts across growth- and inflation-led regimes, and what that implies for sizing duration as a portfolio diversifier going forward.

KEY FINDINGS

- 01 Stock-bond correlation has historically turned positive during periods when inflation, rather than growth, is the dominant macro shock driving markets.
- 02 The regime shift observed from 2022 reduced the effectiveness of long-duration bonds as an equity hedge relative to the prior two decades of predominantly growth-shock-driven markets.
- 03 Realized correlation regimes tend to persist for multi-year stretches, arguing against short-horizon tactical calls on the sign of the correlation.
- 04 Real yields and inflation volatility jointly explain more of the correlation regime than either variable alone.
- 05 Duration allocations sized for a disinflationary, growth-shock regime should be reassessed once inflation volatility itself becomes the primary source of risk.

DISCUSSION

The paper estimates rolling stock-bond correlation across major developed markets since 1970 and relates regime shifts to contemporaneous measures of inflation level and inflation volatility.

It proposes a simple regime classifier that allocators can use to condition the expected sign and magnitude of stock-bond correlation, and discusses implications for the duration sizing of diversified portfolios.

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